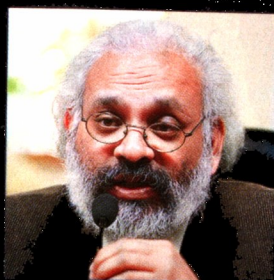




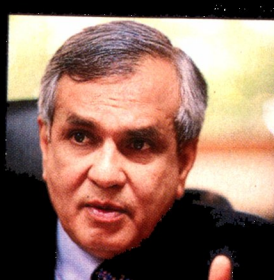
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It is for real—a collective assessment of India's relatively better prospects in the world today.

The response of markets can be seen as a "stability premium". Fundamentals are turning positive, but the Government needs to live up to expectations.

The markets and the optimism on the political outcome signal that the downturn has bottomed out. But it could falter on negative news from the US or Europe.

Indian capital markets have been positively affected by better liquidity, renewed global interest in emerging markets and by a stable Government.

Yes, as rising hope gets a boost from political stability.

Broadly, yes. The Oct-Dec quarter was the worst as global and domestic cues combined. India is yet vulnerable to new shocks.

The worst will be over for India towards the end of September when the news of the normal or better kharif harvest comes.

We have not seen a turnaround in the real economy as yet. Conclusions based on leading indicators are amorphous.

Yes, India's diversified demand base becomes effective as fear recedes and inflows resume.

Favourable global conditions add to growth. A large domestic market can offset adverse global conditions but it will depend on government action.

Only to an extent. If horror stories continue in advanced economies our recovery will remain anaemic.

Indian economy cannot grow in isolation. Merchandise and services exports make up 21.6 per cent of GDP and there are FDI and FII flows.

Second quarter. If the Government delivers, expect the promised 100-day big bang.

Assuming the monsoons are reasonable, the third quarter of 2009-10 should see the beginnings of a turnaround.

Third quarter of 2009-10, that is after September.

If adequate steps are taken during the Budget in terms of another fiscal stimulus and policy thrust, then by Q4, say around March 2010, one can see some improvement. The normal lag is three quarters.

Firms re-starting delayed projects and an increase in consumer loans.

Credit flows, particularly in housing and retail finance, real estate and auto sales, IIP, corporate earnings and, unfortunately, more blackouts as power demand increases.

Stabilisation or better still pick-up in real estate prices and rentals and stronger FDI inflows. Also look out for an increase in machine tools orders.

Return of growth would be signalled by a rise in IIP, railway freight traffic, commercial vehicle sales, non-food credit offtake, export orders and capital goods supplies.

- Boost education and training.
- Get a bigger bang for government buck through efficiency.
- Divest PSUs and ease FDI caps to make more funds available for infrastructure.

- Ensure allocated expenditure is carried out speedily.
- Expedite implementation of pay panel suggestions.
- Commit on reforms that ensure fiscal consolidation.

- Push reforms, junk administered oil price mechanism.
- Set reverse repo at zero. Disincentivise banks from holding funds with RBI.
- Allow FDI in retail.

- Improve liquidity, cut interest rates, remove FBT.
- Remove surcharge, double exemption limit for individuals.
- Raise infrastructure spending and boost rural schemes.